

Business Model, PESTLE & SWOT

Intake Gate is the records-QA layer for UK bookkeeping practices: it catches incomplete or wrong client document bundles on arrival and drafts the exact chase email. Below: the Osterwalder Business Model Canvas plus a PESTLE and SWOT analysis.

Draft · UK market · some figures are hypotheses to validate

OSTERWALDER · BUSINESS MODEL CANVAS

The nine building blocks

At the centre sits the value proposition: an auditable check (the model extracts, deterministic code decides) you can sell to a professionally-liable buyer.

8 Key partners

- Accounting software: Xero, QuickBooks, FreeAgent (directories, app marketplaces)
- Professional bodies: AAT, ICB, IAB, ICAEW
- Capture tools (Dext, AutoEntry) — complement/import, not competitors
- LLM providers (Anthropic / OpenAI) — extraction
- Google / Microsoft — OAuth for email drafts; hosting

7 Key activities

- Building & maintaining the UK rule library (hold zero false BLOCKs)
- Document-extraction accuracy
- Sales/marketing around MTD deadlines; practice onboarding
- Integrations (write-back to accounting systems)

6 Key resources

- Deterministic rule library + eval harness — the core auditable asset
- Codebase: engine (FastAPI), iOS app, JSON API, OAuth
- Domain expertise (UK bookkeeping, MTD)
- Design partners, real data, case studies & testimonials

1 Value propositions

- For practices:** save the most expensive unbillable hour — chasing documents; a ready-to-send chase email
- Auditable:** every flag = a named rule with a reason, not a black box
- Bundle-level checks:** missing month of statements, a whole forgotten account, duplicates, out-of-period docs — what capture tools don't do
- For SMEs:** a "green light" before sending to the accountant; less back-and-forth
- Nothing filed with HMRC — pre-submission QA; exact arithmetic (Decimal), UK rules (VAT check digit)

4 Customer relationships

- Phase 0 — concierge / high-touch (design partners)
- Then — self-serve SaaS + onboarding + support
- Referral loop: SME ⇄ accountant
- Trust via audit trail and client-safe copy

3 Channels

- Direct/founder-led sales; professional bodies & their events
- AccountingWEB, LinkedIn, bookkeeper Facebook groups
- Xero/QBO/FreeAgent advisor directories + marketplaces
- MTD-deadline content; web & iOS app

2 Customer segments

- Core:** small UK practices & independent bookkeepers (5–40 clients), especially with MTD clients
- Wedge/funnel:** micro-businesses — sole traders & landlords under MTD
- Later:** larger firms / franchises — white-label

9 Cost structure

- Engineering & rule maintenance — the main line
- LLM API — variable extraction cost (mock/deterministic part is cheap)
- Hosting/infrastructure (Postgres, file storage)
- Sales/marketing (CAC); legal/compliance (GDPR, ICO, OAuth verification); support
- Value >> price (≈10×) — the lever is distribution, not justifying the cost

5 Revenue streams

- SaaS subscription; value metric — **active clients per month**
- Tiers: Free / Starter ~£39–49 / Practice ~£129–149 / Scale (custom); SME Solo ~£6–9 or free via the accountant
- Overage for extra clients; annual billing at a discount (~2 months free)
- Later — premium modules (onboarding/AML, CIS, landlord), white-label, integrations
- Non-dilutive: Innovate UK grants, R&D tax relief

Factors — and what each means for us

Headline: MTD (the shift to quarterly digital reporting) is the strongest tailwind, and an auditable, deterministic architecture is the answer to low trust in "AI black boxes".

P Political

- MTD is an HMRC government initiative — a strong political demand driver
- Deadlines have slipped before — risk of further delay
- Drive to digitise tax and small business; rising AI regulation

WHAT IT MEANS

Don't bet the company on one date: the "incomplete records" pain exists without MTD — MTD just makes it quarterly and urgent.

E Economic

- Fragmented market: ~40k accountancy firms, ~17k bookkeeping firms
- Willingness to pay proven (Dext ~£190–240/mo for 10 clients)
- A bookkeeper-hour ~£30–40 — time saved easily justifies the price
- Recession pressures spend, but compliance is non-optional

WHAT IT MEANS

Value per client (~£120–160/yr) is an order of magnitude above price — focus on distribution.

S Social

- ~864k new digital filers, many unprepared
- Professionally-liable accountants distrust "black box" tools
- Small practices often not tech-first; SMEs expect mobile-first

WHAT IT MEANS

Sell auditability and simplicity ("green light", plain English), not "AI".

T Technological

- LLMs improving and getting cheaper (better extraction)
- Mature integration APIs (Xero/QBO/FreeAgent)
- LLM-provider dependency risk; risk that Dext adds validation

WHAT IT MEANS

The deterministic layer lowers model risk and builds a moat; the adapter keeps the provider swappable.

L Legal

- UK GDPR / DPA: financial-data processing, processor role, DPAs with clients, ICO registration
- AML: an onboarding module checks pack completeness only, not risk judgement
- Regulated-services line: we are QA, **not tax advice**; nothing filed with HMRC
- OAuth verification (Google/Microsoft); LLM data terms

WHAT IT MEANS

"Records QA, not advice" + least privilege (drafts only) keeps us out of the regulated zone.

E Environmental

- Direct impact minimal (SaaS); digitising reduces paper
- LLM/data-centre carbon footprint — an ESG factor in provider/hosting choice
- Client ESG reporting may become a driver later

WHAT IT MEANS

Least relevant factor now; keep as an ESG line for future tenders.

Strengths, weaknesses, opportunities and threats

Strategy link: press strength × opportunity (auditability × the MTD wave) and close the weaknesses (prove accuracy on real data, add an accounting advisor) before scaling.

S Strengths

INTERNAL +

- Deterministic, auditable rules engine — sellable to a liable buyer; a real moat
- Bundle-level checks competitors don't do (missing statement, forgotten account)
- Working prototype: full loop, 81 tests, zero false BLOCKs, web + iOS + JSON API + OAuth drafts
- UK-specific rules (VAT check digit, MTD period logic)
- Provider-agnostic LLM adapter — low model lock-in

W Weaknesses

INTERNAL –

- Pre-revenue: no customers or traction, pricing unproven
- Small team, no named accounting advisor yet (credibility gap)
- "Feature not a company" risk — narrow initial scope
- Extraction accuracy on messy scans unproven at scale
- Prototype-grade auth/security; no multi-tenancy or deployment (Phase 1 work)

O Opportunities

EXTERNAL +

- MTD ITSA (2026→2028): ~864k, then millions, into quarterly filing
- Fragmented market (~40k firms) with proven willingness to pay
- Adjacent modules (onboarding/AML, CIS, landlord, VAT-period) raise ACV
- SME wedge → referral loop into practices; non-dilutive grants
- Xero/QBO marketplace listings; white-label for larger firms

T Threats

EXTERNAL –

- Incumbents (Dext/AutoEntry) could add validation
- MTD deadlines could slip again (timing risk)
- LLM-provider dependency (price/quality/policy)
- Drift into "tax advice"/AML judgement if the line isn't held
- GDPR/data-security incidents; long, conservative sales cycles

Internal working draft. Market figures (firm counts, MTD audience, competitor prices) are from public sources and shown as indicative; tariffs are hypotheses to validate in Phase 0. Intake Gate performs records quality assurance, gives no tax advice, and files nothing with HMRC.